

Costs

COST (\$ IN MILLIONS)	FY 2023	FY 2024	FY 2025
AMC	\$6,658	\$6,142	\$6,438
SDDC	\$1,223	\$1,200	\$1,286
MSC	\$1,166	\$1,059	\$1,171
DCD	\$8	\$8	\$9
USTRANSCOM Command Staff	\$513	\$602	\$651
Total*	\$9,567	\$9,011	\$9,554

*May not total due to rounding

FY 2024 changes from the FY 2024 PB to the FY 2025 PB:

Total USTRANSCOM: Cost increased in FY 2024 by \$271 million, major changes are listed below:

+\$256 million	– Pricing changes (commercial transportation, fuel, aircraft maintenance, general inflation, and pay)
+\$108 million	– Customer workload changes
+\$33 million	– Other
+\$12 million	– Global Bulk Fuel Management & Delivery
-\$138 million	– Aircraft/Ship maintenance requirements

Changes from FY 2024 to FY 2025:

Total USTRANSCOM: Cost increased in FY 2025 by \$543 million, major changes are listed below:

+\$353 million	– Customer workload changes
+\$69 million	– IT (Cloud & Security)
+\$65 million	– Contested Logistics (Lessons Learned Program)*
+\$32 million	– Aircraft maintenance requirements
+\$24 million	– Global Bulk Fuel Management & Delivery*
+\$18 million	– Pricing changes (commercial transportation, fuel, aircraft maintenance, general inflation, and pay)
+\$18 million	– Audit Support
+\$7 million	– Ship maintenance requirements
-\$2 million	– Facility maintenance (Military Ocean Terminal-Sunny Point and AMC ramps, terminals, & hangars)
-\$41 million	– Other

*Includes FY23 execution costs not included in FY24PB

Revenue

REVENUE (\$ IN MILLIONS)	FY 2023	FY 2024*	FY 2025
AMC	\$6,989	\$5,898	\$6,500
SDDC	\$1,068	\$974	\$1,286
MSC	\$1,214	\$1,118	\$1,171
DCD	\$6	\$7	\$9
USTRANSCOM Command Staff	\$544	\$479	\$684
Total*	\$9,821	\$8,476	\$9,650

*May not total due to rounding

Revenue: Revenue estimates include rate revenue, reimbursable revenue, Airlift Readiness Account, and Service Level Bills. They are determined as follows:

- Rate revenue: Derived by using approved rates multiplied by various workload measures (i.e., flying hours, ton miles, tons, passengers, ship days, measurement tons, vehicles, etc.). In most cases, TWCF rates recoup budgeted costs and beginning Accumulated Operating Results (AOR), consistent with standard Working Capital Fund guidelines.
- Reimbursable revenue: Includes commercial airlift and sealift charters purchased by customers (charged based on recovery of contract costs).
- Airlift Readiness Account (ARA): As directed in the DoD FMR, AMC's channel airlift rates are set to compete with private sector rates and do not cover the cost of the unique readiness requirements of military airlift operations. The ARA recoups the difference between channel system operating costs and benchmarked rate revenue, plus/minus prior year channel losses/gains. Starting in FY 2024, charter rates are established to recover 100% of the cost of military charters and no longer impacts the ARA.
- Service Level Bills (SLB): Port Readiness, Traffic Management and Global Bulk Fuel Management and Delivery.
- Transactional Bill: Defense Personal Property Program (DP3).

Disbursements, Collections, and Net Outlays

(\$ IN MILLIONS)	FY 2023	FY 2024	FY 2025
Disbursements	\$9,637	\$9,037	\$9,521
Collections	\$9,982	\$8,543	\$9,534
Net Outlays*	(\$346)	\$494	(\$13)
Ending Cash Balance*	\$692	\$197	\$210
Cash Lower Boundary	\$1,046	\$1,041	\$1,074
Cash Upper Boundary	\$1,786	\$1,736	\$1,806

*May not total due to rounding

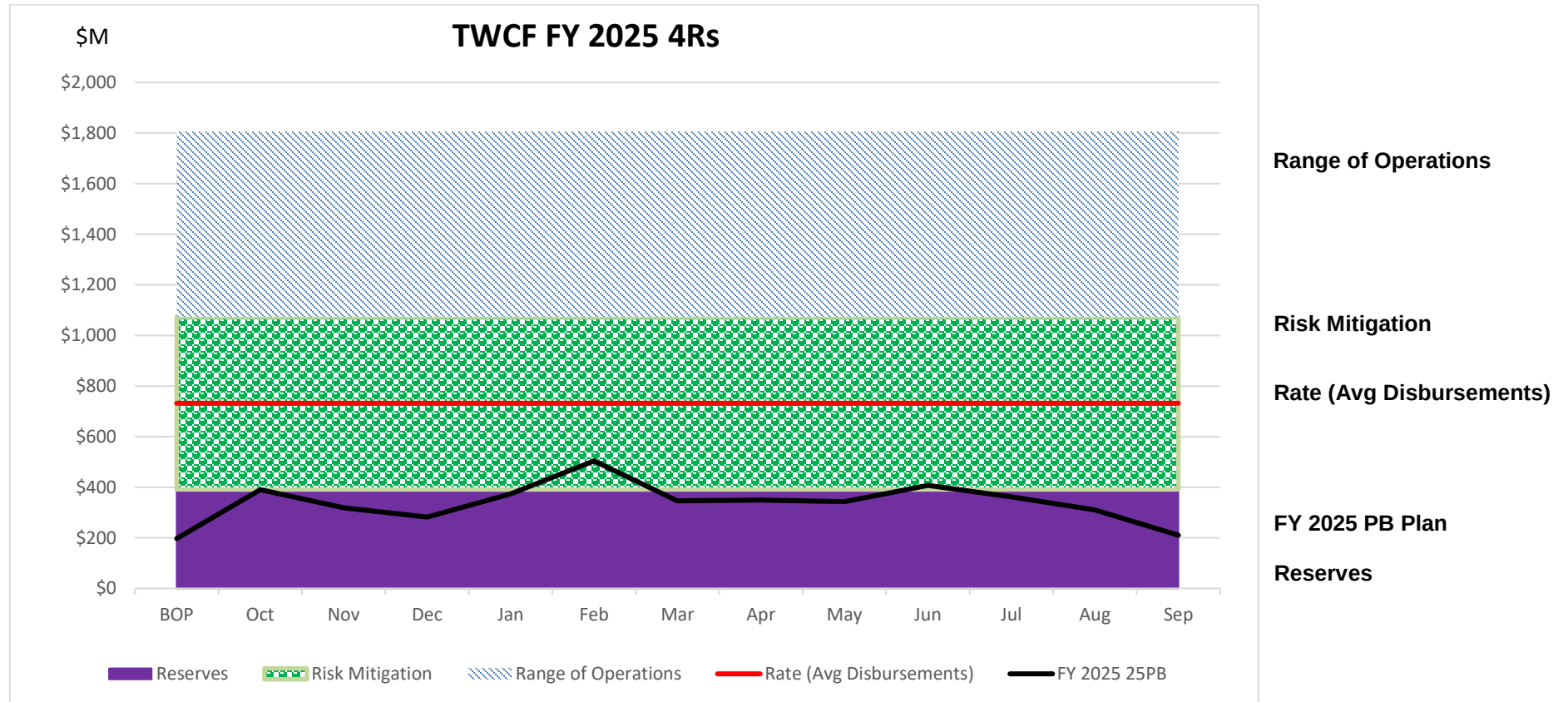
FY 2023 USTRANSCOM CASH: FY 2023 cash increased from \$346 million to \$692 million due to increased collection rate. The cash position includes collection of FY23 ARA \$1,449 million requirement. Ending cash balance is below the lower boundaries by \$354 million.

FY 2024 USTRANSCOM CASH: The FY 2024 cash is projected to decrease from \$692 million to \$197 million. USTRANSCOM cash balance is \$844 million below the cash lower boundary. USTRANSCOM continues to work with OSD(C) to solidify long term TWCF solvency and stabilize rates to mitigate impacts on Services.

FY 2025 USTRANSCOM CASH: The FY 2025 cash is projected to increase from \$197 million to \$210 million. USTRANSCOM cash balance is \$864 million below the cash lower boundary. USTRANSCOM continues to work with OSD(C) to solidify long term TWCF solvency and stabilize rates to mitigate impacts on Services.

Cash Management

The methodology for calculating cash requirements consists of four elements: rate, range, risk mitigation, and reserves (colloquially, the 4Rs).



FY 2025 **Rate of Disbursements** is the TWCF's average amount disbursed per collection cycle. **Range of Operations** is the highest and lowest expected cash level with \$732 million as the basic operating range. **Risk Mitigation** includes Contingency/Humanitarian Operations, current events, potential emerging "operational threats", and support of initial unplanned operations until collections begin. Cash **Reserves** include Liability Reserves (cost of possible contract termination and carrier bankruptcy) and Continuity of Combatant Command (COCOM) Operations (Continuing Resolution Authority, government shutdown, sequestration).

Summary of Cash Flows

FY 2023 had \$346 million cash flow. The balance sheet A/R activity decreased \$144 million, A/P decrease \$14 million, and offset from a positive \$255 million NOR.

FY 2024 projects a negative \$494 million cash flow. The balance sheet A/R activity increases \$141 million, A/P increases \$176 million, and offset from a negative \$535 million NOR.

FY 2025 projects a positive \$13 million cash flow. The balance sheet A/R activity increases \$143 million, A/P increases \$3 million, and offset from a positive \$98 million NOR.

Customer Rate Changes

AMC RATE CHANGES	FY 2025
Channel Passenger	+34.1%
Channel Cargo	+2.1%
SAAM/JETP	+17.1%
Training	+2.2%

MSC RATE CHANGES	FY 2025
Petroleum Tanker ships	-6.3%
Army Afloat Prepositioning	+8.5%
Air Force Afloat Prepositioning	+82.3%
Chartered Cargo	+6.4%

SDDC RATE CHANGES	FY 2025
Port Operations	+5.7%
Liner Ocean Transportation	+36.9%

DCD RATE CHANGES	FY 2025
Pounds Delivered	+44.0%